KO 1 3.7.1 | Mission, Objectives & Strategy

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

MISSION AND ITS INFLUENCES

A mission sets out the purpose and values of the business.

Influences on the mission: the founders' and owners' values, the type of ownership, stakeholder expectations, the market the business operates in and its history and culture.

MISSION → OBJECTIVES → STRATEGY

Corporate objectives - targets for the whole business that turn the mission into measurable goals.

Strategy - the long-term plan to achieve the corporate objectives.

Functional objectives - targets for marketing, operations, finance and HR that support the strategy.

STRATEGY V TACTICS

Strategy - long-term, affects the whole business, made by senior managers, large resources, hard to reverse. E.g. entering a new country.

Tactics - short-term, made lower down, fewer resources, easier to reverse. E.g. a price promotion this month.

STRATEGIC AND FUNCTIONAL DECISIONS

Strategic decisions set the direction for functional decisions. A low-cost strategy needs operations to cut unit costs, marketing to stress value and HR to keep labour costs down.

If functional decisions do not support the strategy, it is unlikely to succeed.

EXAM TRAP

Strategy and tactics are not decided by size of spend alone. A strategy is long-term and changes the direction of the whole business; a tactic supports it in the short term.

ANALYSIS CHAIN

Corporate objective of 20% growth → strategy of entering new markets → functional objectives for marketing (new segments) and HR (recruiting overseas staff) → coordinated action → growth achieved.

TOP GRADE CONNECTION

Strong answers link the levels together. Judge a functional decision by whether it fits the strategy, not just whether it looks sensible on its own.

KO 2 3.7.1 | Influences on Objectives & SWOT

INTERNAL INFLUENCES

Finance available, staff skills, operational capacity, culture, leadership and the business's past performance.

The type of ownership - e.g. a family firm may value long-term control; a plc must satisfy shareholders.

EXTERNAL INFLUENCES

The economy, competition, laws and regulation, technology, social trends, and pressure from stakeholders.

These affect both corporate objectives and functional objectives and decisions.

SHORT-TERMISM

Pressure to deliver quick results, e.g. from shareholders wanting dividends and a rising share price, or managers paid bonuses on this year's profit.

Can lead to cutting investment, training or R&D to boost profit now, harming long-term competitiveness.

SWOT ANALYSIS

Strengths and weaknesses are internal; opportunities and threats are external.



EXAM TRAP

Opportunities and threats are external. A new product the business plans to launch is not an opportunity - the market demand it targets is.

ANALYSIS CHAIN

Shareholder pressure for higher short-term profit → R&D budget cut → profit rises this year → fewer new products later → competitiveness falls in the long run.

TOP GRADE CONNECTION

SWOT is a starting point, not a conclusion. Its value is in deciding which factors matter most and how strengths can be used to take opportunities or counter threats.

KO 3 3.7.2 | Financial Statements & Ratios

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FINANCIAL STATEMENTS

Income statement - revenue, costs and profit over a period (usually a year).

Balance sheet (statement of financial position) - assets, liabilities and equity at one point in time.

Ratios use figures from both to assess performance.

PROFITABILITY - ROCE

ROCE (%) = operating profit ÷ capital employed × 100

Capital employed = total equity + non-current liabilities

Shows the return generated from the long-term capital invested. Compare with the interest rate and with competitors.

LIQUIDITY AND GEARING

Current ratio = current assets ÷ current liabilities (expressed as x:1)

Gearing (%) = non-current liabilities ÷ capital employed × 100

Low current ratio - may struggle to pay short-term debts. Very high - cash or inventory sitting idle.

High gearing (often said to be above 50%) - heavily reliant on borrowing, exposed to interest rate rises.

WORKED EXAMPLE

Operating profit £2m. Total equity £8m. Non-current liabilities £2m. Current assets £600,000. Current liabilities £400,000.

Capital employed = £10m. ROCE = £2m ÷ £10m × 100 = 20%

Gearing = £2m ÷ £10m × 100 = 20%

Current ratio = £600,000 ÷ £400,000 = 1.5:1

EXAM TRAP

Capital employed is total equity + non-current liabilities. Don't use total assets or just equity. ROCE uses operating profit, not profit for the year.

ANALYSIS CHAIN

Business borrows to expand → non-current liabilities rise → gearing rises → interest payments increase → profit for the year more exposed to an interest rate rise.

TOP GRADE CONNECTION

High gearing is not automatically bad. If ROCE is well above the interest rate, borrowing can increase returns to shareholders. Judge it against the stability of profits and cash flow.

KO 4 3.7.2 | Efficiency Ratios & the Value of Ratios

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

EFFICIENCY RATIOS

Payables days = payables ÷ cost of sales × 365

Receivables days = receivables ÷ revenue × 365

Inventory turnover = cost of sales ÷ average inventories held (number of times a year)

WORKED EXAMPLE

Payables £90,000; cost of sales £1.2m; receivables £150,000; revenue £1.825m; average inventories £100,000.

Payables days = £90,000 ÷ £1.2m × 365 = 27.4 days

Receivables days = £150,000 ÷ £1.825m × 365 = 30 days

Inventory turnover = £1.2m ÷ £100,000 = 12 times a year

INTERPRETING EFFICIENCY

Receivables days - lower usually means customers pay faster and cash flow is better.

Payables days - higher keeps cash in the business longer, but may strain suppliers.

Inventory turnover - higher means inventory sells quickly. What is normal depends on the industry: a supermarket turns over far faster than a car dealer.

THE VALUE OF RATIOS

Compare over time to spot trends, and with other businesses to judge relative performance.

Limitations: based on past data; one balance sheet date may not be typical; businesses may use different accounting methods; ratios ignore non-financial factors and don't explain why figures changed.

EXAM TRAP

Inventory turnover is a number of times, not days. Higher payables days is not always good - it may mean the business cannot afford to pay its suppliers.

ANALYSIS CHAIN

Receivables days fall from 60 to 30 → customers pay a month earlier → cash inflows arrive sooner → less need for an overdraft → lower interest costs.

TOP GRADE CONNECTION

One ratio rarely proves anything. Look at several together, over several years, against competitors, and think about what is happening in the case before judging.

KO 5 3.7.3 | Overall Performance

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

USING NON-FINANCIAL DATA

Operations data - capacity utilisation, unit costs, productivity, quality.

HR data - labour turnover, productivity, employee costs.

Marketing data - market share, sales growth, brand loyalty.

Analyse over time and against other businesses to identify strengths and weaknesses.

CORE COMPETENCES

Capabilities that a business does particularly well and that set it apart, e.g. design skill, a supply network, technical know-how.

A core competence should be hard for competitors to copy, add real value for customers and be usable across different products or markets.

Strategy can be built around core competences.

SHORT- AND LONG-TERM PERFORMANCE

Some decisions improve short-term figures at the expense of the long term, e.g. cutting R&D.

Long-term performance depends on investment, innovation, reputation and staff development, which may not show up in this year's figures.

ELKINGTON'S TRIPLE BOTTOM LINE

Measures performance in three ways: **profit** (financial), **people** (social - staff, communities, suppliers) and **planet** (environmental).

Encourages a broader view of success, but social and environmental impacts are harder to measure and can conflict with profit.

EXAM TRAP

Triple Bottom Line is Elkington's model: profit, people, planet. Don't reduce it to 'being green' - it is about measuring all three.

ANALYSIS CHAIN

Core competence in design → products customers value → can charge premium prices → high margins → strong long-term performance if rivals can't copy it.

TOP GRADE CONNECTION

Financial data shows what has happened; non-financial data often shows why, and what is likely to happen next. The strongest judgements use both.

KO 6 3.7.4 | Political & Legal Change

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

COMPETITION LAW

Aims to stop businesses restricting competition, e.g. price fixing, abusing a dominant position, or mergers that reduce competition.

Protects customers and smaller firms; limits how far large firms can grow by takeover.

LABOUR MARKET AND ENVIRONMENTAL LAW

Labour market laws - e.g. minimum wage, employment rights, discrimination, health and safety. Raise some costs but can improve morale and reputation.

Environmental laws - e.g. limits on emissions and waste. Raise costs and may require new processes, but can also create opportunities.

GOVERNMENT POLICY

Enterprise - support for start-ups and small firms, e.g. grants, advice, tax reliefs.

Regulators - bodies that oversee industries such as energy, water and telecoms, setting rules on prices and service.

Infrastructure - transport, broadband, energy networks.

The environment - targets, taxes and incentives.

International trade - trade agreements, tariffs and other rules on importing and exporting.

IMPACT ON DECISION MAKING

Political and legal change affects both strategic decisions (which markets to enter, whether to merge) and functional decisions (pay rates, production methods, product design).

Businesses need to anticipate change, which can be hard when policy is uncertain.

EXAM TRAP

A question about legislation is not a question about ethics. Something can be legal but unethical, and the law sets the minimum. Answer the question that is asked.

ANALYSIS CHAIN

Minimum wage rises → labour costs increase → labour-intensive firms see margins fall → may raise prices, invest in automation or cut hours.

TOP GRADE CONNECTION

The impact of a law depends on the business. A rise in the minimum wage hits a labour-intensive café far harder than a capital-intensive manufacturer paying above the minimum already.

KO 7 3.7.5 | Economic Change

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

GDP AND INFLATION

GDP - the value of output in an economy. Rising GDP usually means rising incomes and demand; falling GDP (recession) means the opposite. Products with high income elasticity are most affected.

Inflation - a rise in the general price level. Raises costs, reduces customers' real incomes and makes planning harder.

EXCHANGE RATES

A stronger pound makes UK exports more expensive abroad and imports cheaper in the UK.

A weaker pound makes exports cheaper abroad and imports dearer.

The effect depends on whether the business mainly exports, imports materials or does both.

FISCAL AND MONETARY POLICY

Fiscal policy - government spending and taxation, e.g. higher income tax reduces disposable income; higher corporation tax reduces profit for the year.

Monetary policy - interest rates set by the Bank of England. Higher rates increase borrowing costs and reduce consumer spending.

OPEN TRADE V PROTECTIONISM

Open trade - fewer barriers, bigger markets and cheaper imported materials, but more foreign competition.

Protectionism - tariffs, quotas and other barriers. Shields some domestic firms but raises costs for those that import and can provoke retaliation.

Students should be able to interpret UK and global economic data.

EXAM TRAP

Be precise with exchange rates. A stronger pound makes exports dearer and imports cheaper - work through the effect on the business's costs and on its prices to foreign customers.

ANALYSIS CHAIN

Pound weakens → imported materials cost more in pounds → UK manufacturer's costs rise → but its exports become cheaper abroad → overseas sales may rise.

TOP GRADE CONNECTION

Economic change affects businesses unevenly. Judge the impact using the case: what it sells, its income elasticity, how much it borrows, and how much it trades abroad.

KO 8 3.7.6 | Social Change

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

DEMOGRAPHIC CHANGE

Changes in the size and structure of the population, e.g. an ageing population, more single-person households.

Changes what customers buy and the labour available.

POPULATION MOVEMENTS AND MIGRATION

Migration can increase the supply of labour and fill skills gaps.

It can also create demand for new products and services.

Changes in migration rules affect firms relying on overseas workers.

LIFESTYLE AND BUYING BEHAVIOUR

E.g. healthier eating, interest in sustainability, demand for convenience, buying on mobile phones.

Businesses that adapt quickly can gain; those that don't may lose market share.

GROWTH OF ONLINE BUSINESSES

Customers expect to buy online and have fast delivery.

Lower barriers to entry for new firms, more price comparison and competition.

Pressure on traditional retailers to adapt, e.g. click and collect, multi-channel.

EXAM TRAP

Social change is about customers and society, not technology itself. Online shopping is both - explain the change in behaviour and how technology made it possible.

ANALYSIS CHAIN

Ageing population → more retired customers with time and savings → demand for travel and leisure for over-60s rises → businesses adapt products and marketing.

TOP GRADE CONNECTION

Social trends tend to be gradual and predictable, so the businesses that suffer are often those that ignored them. Judge how quickly the business in the case needs to respond.

KO 9 3.7.6 | Corporate Social Responsibility

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WHAT CSR MEANS

Taking responsibility for the effects of the business on society and the environment, beyond what the law requires.

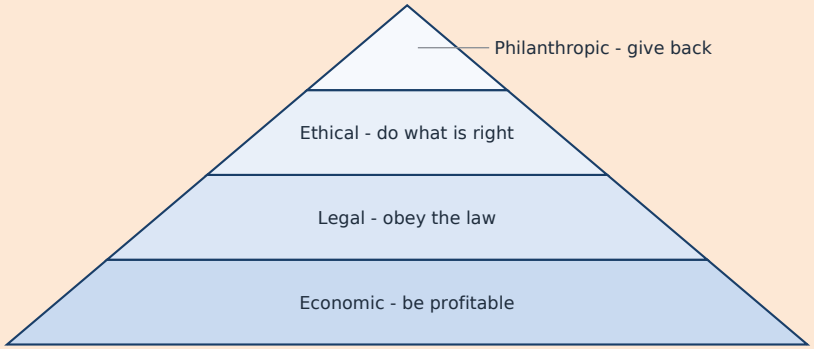
STAKEHOLDER V SHAREHOLDER CONCEPT

Shareholder concept - the business's main duty is to maximise returns to its owners.

Stakeholder concept - the business should consider the interests of all stakeholders when making decisions.

CARROLL'S CSR PYRAMID

Economic, legal, ethical and philanthropic responsibilities, from the base up.



REASONS FOR AND AGAINST CSR

For - stronger reputation and brand, customer and staff loyalty, easier recruitment, may avoid future regulation, the right thing to do.

Against - costs money and may lower short-term profit, can be used only for PR, hard to measure.

Pressures for socially responsible behaviour: customers, employees, investors, pressure groups, media and social media, government.

EXAM TRAP

In Carroll's pyramid, economic responsibility is at the base - a business must be profitable to survive before it can meet the other responsibilities.

ANALYSIS CHAIN

Business commits to paying suppliers fairly → stronger supplier relationships and positive publicity → customers more loyal → but higher costs reduce margins in the short term.

TOP GRADE CONNECTION

Judge whether CSR is genuine and whether it fits the business's strategy. For some brands it is a core part of their competitive advantage; for others it is a cost with little return.

KO 10 3.7.6 | Technological Change

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

IMPACT ON OPERATIONS

Automation and robotics, faster production, better quality, real-time inventory control.

Lower unit costs, but large investment and need for new skills.

IMPACT ON MARKETING

Online selling, social media, digital marketing, dynamic pricing and better use of customer data.

New products and shorter product life cycles.

IMPACT ON HR AND FINANCE

HR - changes to the skills needed, the nature of work and ways of working such as remote working; possible job losses in some roles.

Finance - new sources such as crowdfunding; faster financial information; large spending on technology to finance.

IMPACT ON STRATEGY

New technology can create new markets, disrupt existing ones and lower barriers to entry.

Businesses must decide whether to lead, follow or ignore new technology - each carries risks.

EXAM TRAP

Don't treat technology as automatically good. Explain the cost, the time to pay back and the effect on staff as well as the benefits.

ANALYSIS CHAIN

Investment in automation → higher labour productivity → lower unit costs → lower prices or higher margins → but redundancies may harm morale among remaining staff.

TOP GRADE CONNECTION

Technology only gives an advantage if competitors can't easily buy the same thing. Judge whether the business is gaining a lasting edge or just keeping up.

KO 11 3.7.7 | Porter's Five Forces

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

THE FIVE FORCES

The stronger the forces, the more competitive the market and the lower its profitability.



THE FORCES EXPLAINED

Threat of new entrants - high when barriers to entry are low, e.g. low start-up costs.

Buyer power - high when there are few large buyers or switching is easy.

Supplier power - high when there are few suppliers or no substitutes for their inputs.

Threat of substitutes - high when customers can easily meet their need another way.

Competitive rivalry - high when there are many similar competitors and slow market growth.

HOW AND WHY FORCES CHANGE

Technology can lower barriers to entry or create substitutes.

Mergers can change buyer, supplier or competitor power.

Changes in law and regulation can raise or lower barriers.

IMPLICATIONS FOR DECISIONS

Helps decide which markets to enter and how to compete.

Strategic responses: build barriers (brand, patents), reduce supplier power (backward integration, more suppliers), reduce buyer power (differentiation, loyalty).

EXAM TRAP

Each force needs a direction - say whether it is strong or weak and why. Listing the forces without judging their strength earns little.

ANALYSIS CHAIN

Strong buyer power from large supermarkets → suppliers forced to accept lower prices → margins squeezed → supplier may differentiate its brand to reduce buyer power.

TOP GRADE CONNECTION

The model shows the attractiveness of a market at one time. Judge which force matters most in the case and how it might change.

KO 12 3.7.8 | Investment Appraisal: Payback & ARR

AQA A-LEVEL BUSINESS 7132 - UNIT 3.7 ANALYSING THE STRATEGIC POSITION OF A BUSINESS

PAYBACK

The time it takes for the net cash flows from an investment to cover its initial cost.

Part years: amount still needed ÷ net cash flow in the next year × 12 = months.

Simple and focuses on cash and risk, but ignores what happens after payback and the timing of cash within the period.

AVERAGE RATE OF RETURN (ARR)

ARR (%) = average annual return ÷ initial cost × 100

Average annual return = (total net cash flows - initial cost) ÷ number of years

Uses all the cash flows and can be compared with other projects or interest rates, but ignores timing - a £ in year 5 counts the same as a £ in year 1.

WORKED EXAMPLE

Cost £100,000. Net cash flows: Year 1 £30,000; Year 2 £40,000; Year 3 £50,000; Year 4 £40,000.

Payback - after 2 years £70,000 is recovered. £30,000 still needed ÷ £50,000 × 12 = 7.2 months. Payback = 2 years 7.2 months.

ARR - total net cash flows £160,000. Total profit £60,000 ÷ 4 years = £15,000 a year. ARR = £15,000 ÷ £100,000 × 100 = 15%.

INTERPRETING RESULTS

Shorter payback means lower risk and quicker return of cash - important when cash is tight or the future is uncertain.

Compare ARR with the business's target return and with the interest rate it could earn or would pay.

EXAM TRAP

For ARR, subtract the initial cost from the total net cash flows before dividing by the number of years. Leaving this out is the most common error.

ANALYSIS CHAIN

Short payback → cash recovered quickly → less exposure to changes in the market → lower risk → suitable for a business short of cash.

TOP GRADE CONNECTION

The two methods can point in different directions. A project with a high ARR may have a long payback, so the choice depends on whether the business values return or risk more.

KO 13 3.7.8 | Investment Appraisal: NPV & Other Factors

NET PRESENT VALUE (NPV)

Money received in the future is worth less than money today, because today's money could be invested to earn interest.

Each year's net cash flow is multiplied by a discount factor to find its present value.

NPV = total present values - initial cost. A positive NPV means the investment is worthwhile at that discount rate.

WORKED EXAMPLE

Same project, discount factors at 10%: 0.909, 0.826, 0.751, 0.683.

£30,000 × 0.909 = £27,270; £40,000 × 0.826 = £33,040; £50,000 × 0.751 = £37,550; £40,000 × 0.683 = £27,320.

Total present value = £125,180. NPV = £125,180 - £100,000 = £25,180.

VALUE OF NPV

Takes account of the timing of cash flows and the opportunity cost of money.

But the choice of discount rate affects the answer, it is harder to understand, and later cash flows are the hardest to forecast.

OTHER FACTORS IN INVESTMENT DECISIONS

Investment criteria - the targets set, e.g. payback under 3 years, ARR over 12%.

Non-financial factors - fit with strategy, effect on staff, ethics, environment, brand.

Risk and uncertainty - cash flow forecasts may be wrong; the further ahead, the less reliable.

EXAM TRAP

Discount factors are given in the exam - you do not calculate them. Don't forget to subtract the initial cost at the end.

ANALYSIS CHAIN

Positive NPV at 10% → investment earns more than the 10% cost of finance → shareholder value increases → but only if the cash flow forecasts prove accurate.

TOP GRADE CONNECTION

Investment appraisal is only as reliable as the forecasts. The best judgements combine the numbers with non-financial factors and an honest view of the risk.